HARBOURLINE FINANCE

CREDIT RISK EXECUTIVE OVERVIEW Q1 2025

Total Applications

3000

PD15 APPROVAL RATE

66.9...

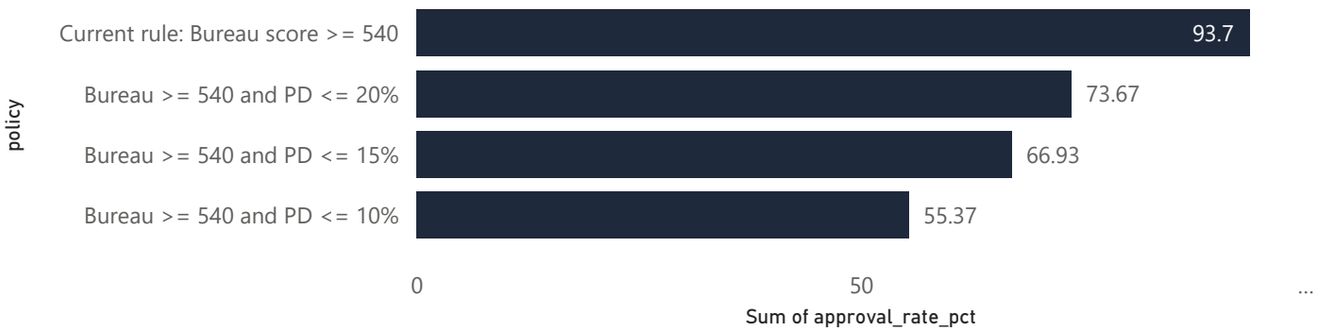
TOTAL PROPOSED LENDING - PD15

Ksh18.54M

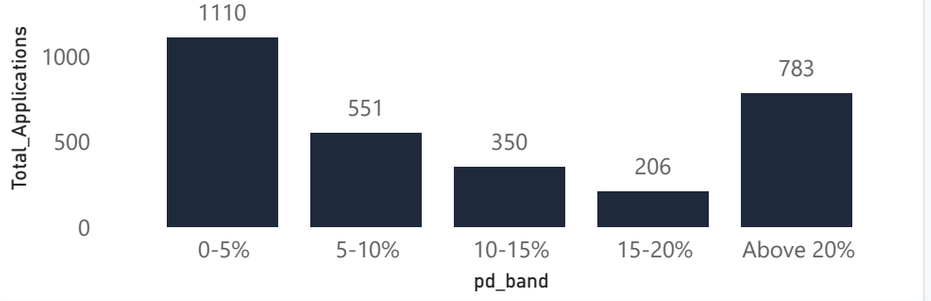
ESTIMATED EXPECTED LOSS - PD15

Ksh409.08K

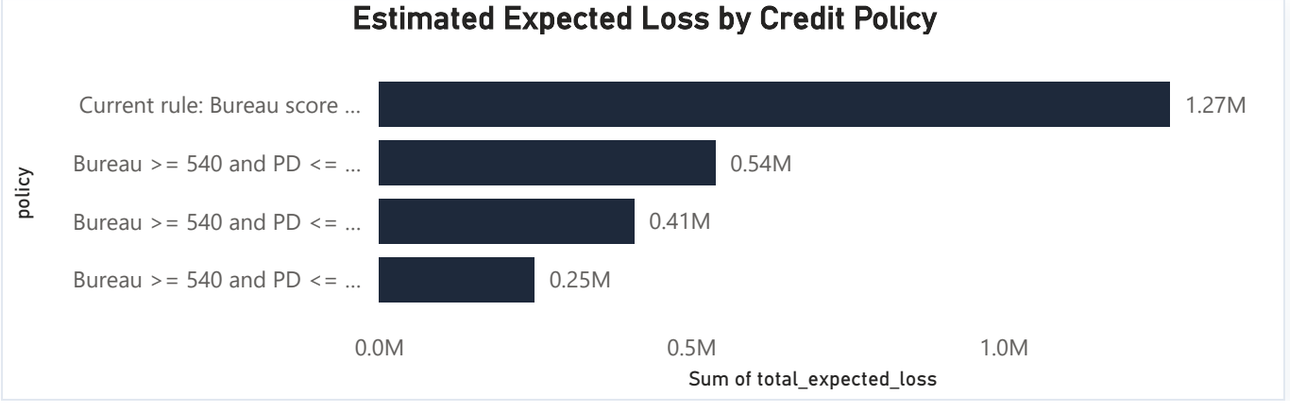
Approval_rate_pct by policy



Total_Applications by pd_band



Estimated Expected Loss by Credit Policy



RECOMMENDATION

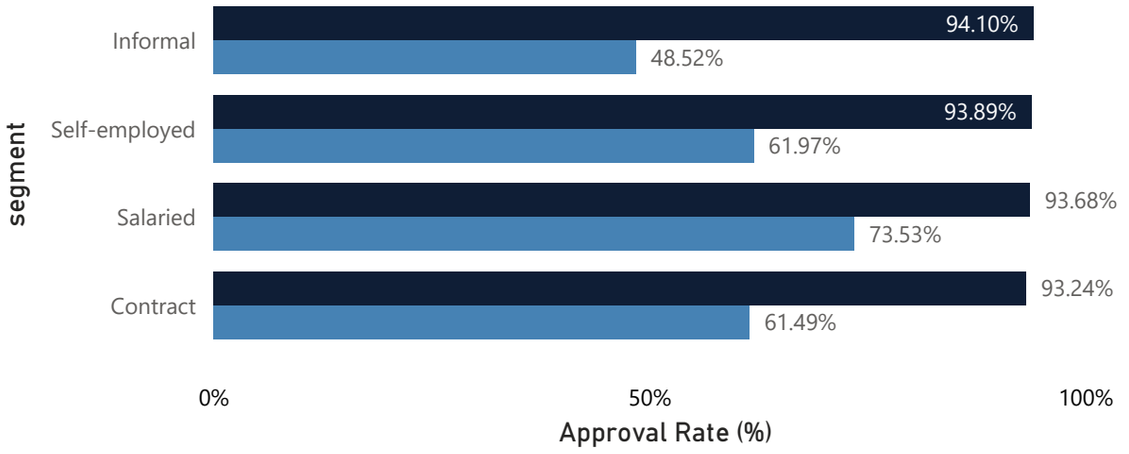
PILOT A 15% PD CUTOFF

Consider piloting the proposed policy while retaining the existing bureau-score floor of 540. In the Q1 2025 application sample, the policy approves 66.93% of applicants and represents approximately Ksh 18.54M in proposed lending. Estimated expected loss falls to approximately Ksh 409.08K, compared with Ksh 1.27M under the current rule.

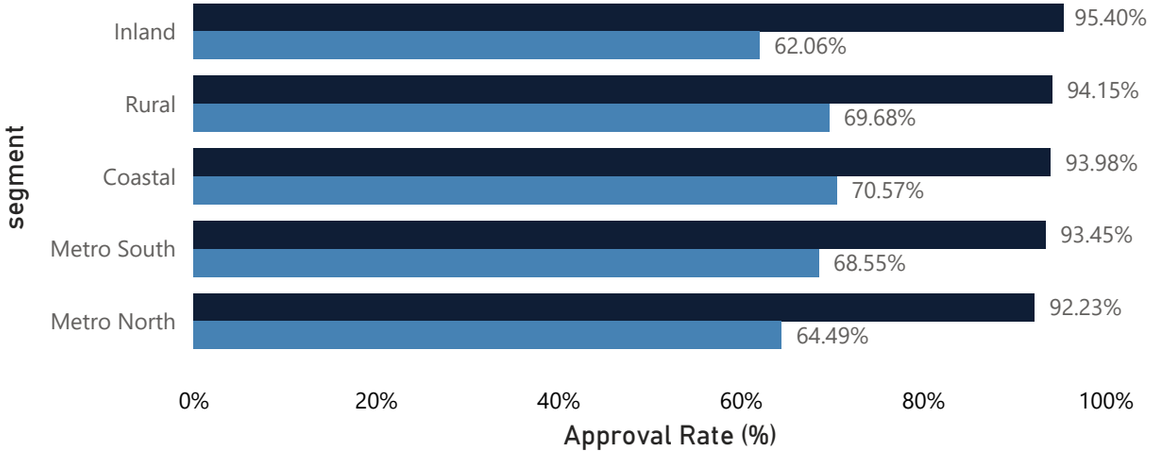
Management trade-off: Estimated expected loss decreases substantially, but approval volume and lending also decline. These are model-based estimates, not realized outcomes. Validate model calibration, monitor approval disparities, and evaluate actual repayment performance before full implementation.

Portfolio & Segment Analysis
Q1 2025 applications | Current policy vs proposed PD ≤ 15%

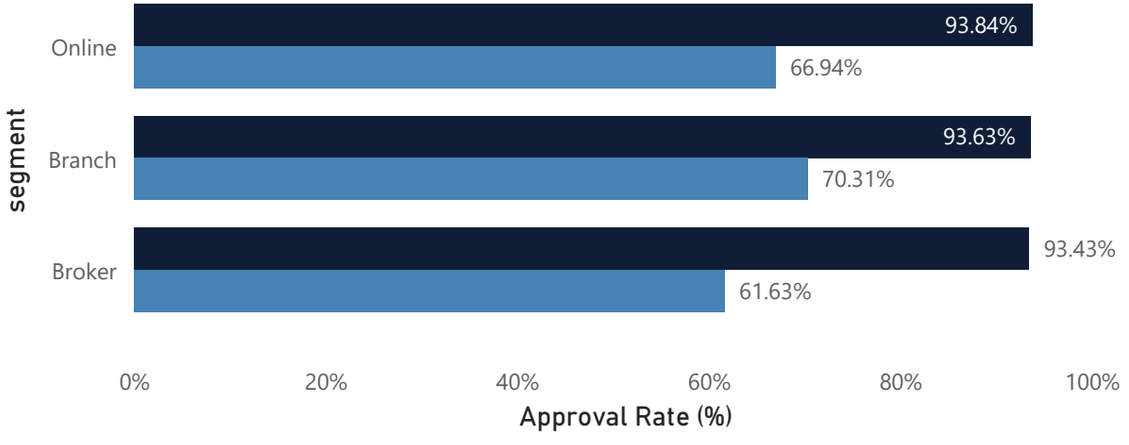
Approval Rate by Employment Type



Approval Rate by Region



Approval Rate by Application Channel

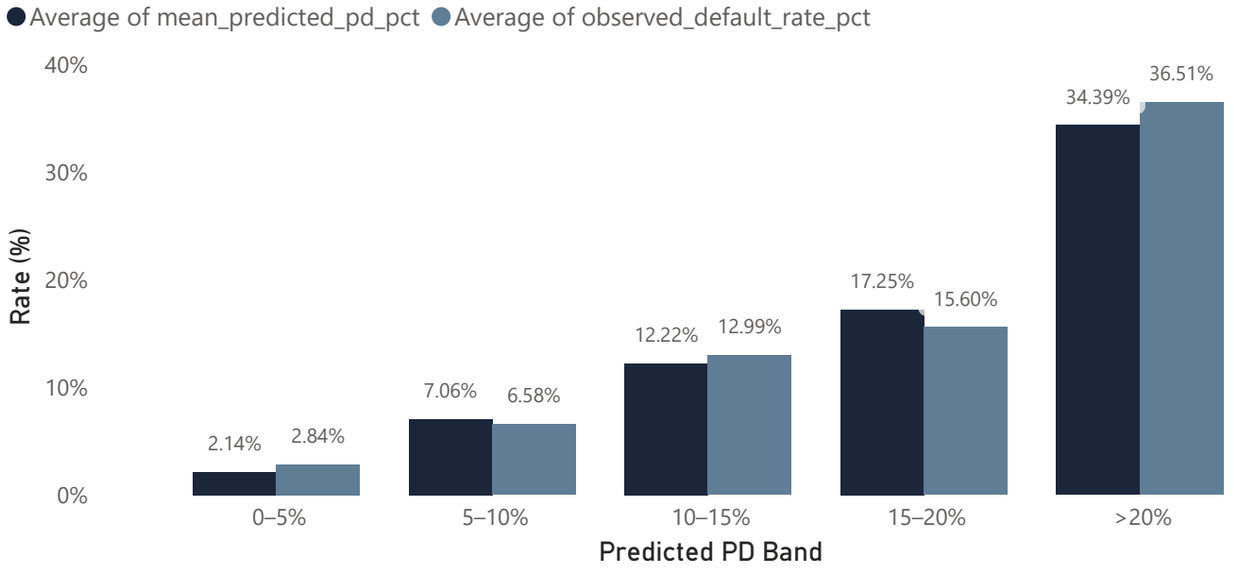


KEY INSIGHT

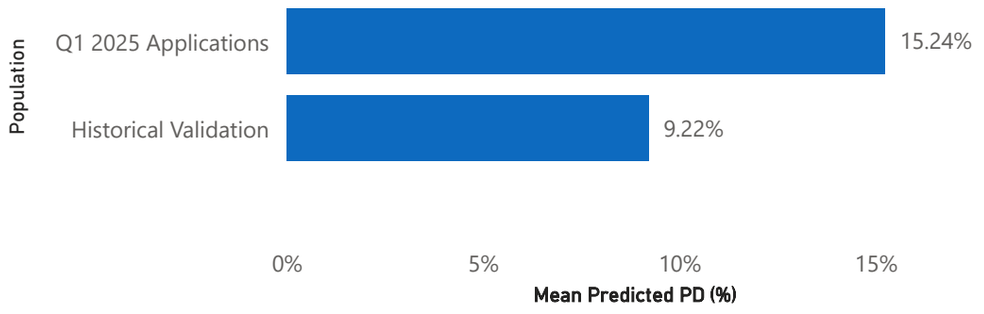
The proposed PD ≤ 15% policy reduces approval rates across all reviewed segments. The largest decline appears among informal employment applicants (−45.57 percentage points), followed by applicants in the Inland region (−33.33 percentage points) and broker-originated applications (−31.79 percentage points). Management should investigate these differences and monitor access to credit during a controlled policy pilot.

Model Performance & Risk
Harbourline Finance | Historical Validation and Q1 Scoring

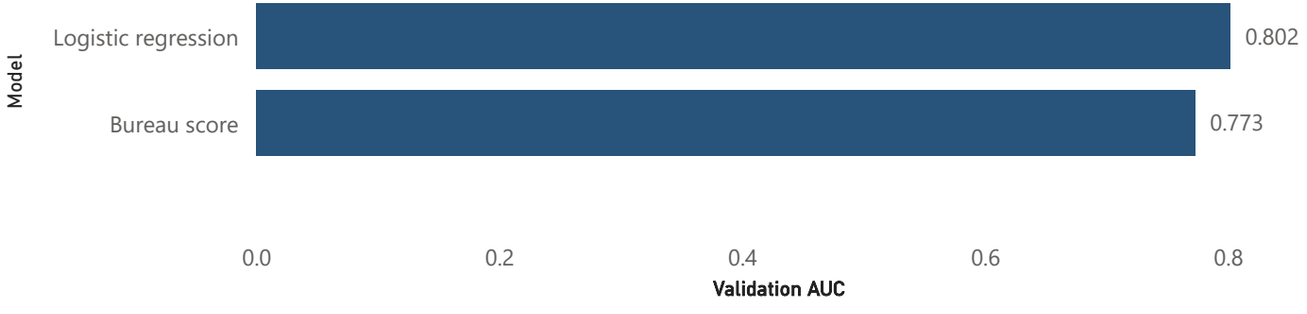
Predicted vs Observed Default Rate by PD Band



Average Predicted PD: Historical vs Q1 2025.



Model Discrimination: Logistic Regression vs Bureau Score



KEY FINDINGS

Discrimination: Logistic regression achieved a validation AUC of 0.802, versus 0.773 for the bureau benchmark.

Calibration: Predicted and observed default rates broadly track across PD bands, with differences that warrant continued monitoring.

Risk profile: Mean predicted PD rose from 9.22% historically to 15.24% in Q1 2025, indicating higher predicted risk. Actual default deterioration remains unconfirmed because Q1 outcomes are unavailable.

RECOMMENDATION: Pilot the PD ≤ 15% policy with the bureau-score floor of 540. Monitor realised defaults, calibration, approval disparities and lending performance before wider implementation.